COMPARABLE COMPANY VALUATION

P/E Multiple Method — Automotive Sector | Target: Tata Motors Ltd

Method	Sector	Target Company	Project Type
Comparable Company (P/E)	Indian Automotive	Tata Motors Ltd	Self-Initiated

1. Methodology

The comparable company method is one of the more intuitive valuation approaches once you understand what it is actually measuring. The idea is simple — if two companies are in the same industry with a similar business model, they should logically trade at similar multiples in the market. So if the peer group averages a P/E of 37x and your target company is at 396x, something is clearly off. Either the stock is massively overvalued, or there is something unusual about the earnings that is distorting the ratio — which turned out to be exactly the case with Tata Motors here.

The calculation itself is simple: **Intrinsic Value = Industry Average P/E × Target EPS** — the more important work is in picking the right peers and deciding what to do with outliers.

The method assumes that comparable companies trade at similar multiples, and any significant deviation in the target's multiple reflects over- or under-valuation relative to peers.

2. Peer Group Selection

Why these three peers?

- Maruti Suzuki — India's largest passenger vehicle manufacturer by volume; pure-play domestic auto, well-understood by market
- Mahindra & Mahindra — strong SUV and tractor segment; diversified but predominantly automotive revenue
- Ashok Leyland — commercial vehicles focus, different sub-segment from Tata Motors but within the broader automotive sector

Note on Tata Motors' own P/E: Tata Motors' trailing P/E at the time of analysis was 396x — an extreme outlier because its EPS of INR 1.24 was abnormally low following years of losses (FY2020–FY2022). Using this P/E in the industry average would have distorted the analysis. In standard comparable analysis, such outliers are excluded. I have excluded Tata's own P/E from the industry average calculation accordingly.

3. Peer P/E Data & Industry Average

Company	Share Price (INR)	EPS (INR)	P/E Ratio	Notes

Maruti Suzuki	15,179	474.90	31.96x	Market leader, stable earnings
Mahindra & Mahindra	5,115	109.60	46.69x	SUV premium reflected in multiple
Ashok Leyland	207.68	6.14	33.83x	CV cycle-dependent, lower multiple
Industry Average P/E			**37.49x**	Simple average of 3 peers
Tata Motors (excluded from avg)	490.00	1.24	396.23x	*Outlier — low EPS post-losses; excluded*

4. Valuation Calculation

Input	Value
Industry Average P/E (peer group)	37.49x
Tata Motors EPS (TTM)	INR 1.24
Intrinsic Value = 37.49 × 1.24	**INR 46.49 per share**
Current Market Price	INR 490.00
Downside / Premium to Intrinsic Value	**−90.5% (stock trades at 10.5× intrinsic)**
Valuation Conclusion	**OVERVALUED**

5. Interpretation & Limitations

Why is Tata Motors' own P/E so high?

This was actually the most interesting part of the analysis. Tata Motors' trailing P/E came out at 396x — which looks absurd until you understand why. The company had been loss-making from FY2020 to FY2022 because of JLR's struggles during the chip shortage and COVID. FY2023 was the first year it came back to meaningful profits, so the EPS of INR 1.24 was still very low relative to where the business was heading. The market was pricing in future earnings, not current ones — so the P/E spiked artificially.

Including this 396x in the peer average would have made no sense and would have completely destroyed the analysis. I excluded it and used only the three true peers. I also cross-checked the P/E result (INR 46.49) against my DCF output (INR 330) — both confirmed the stock was overvalued at INR 490, which made me more confident in the conclusion even though the two methods landed on very different numbers.

Limitations of the P/E Method

- P/E is distorted when earnings are temporarily suppressed (as with Tata Motors)
- Peer group selection is subjective — different peers would yield a different industry average
- P/E does not account for differences in capital structure, growth rate, or balance sheet quality between companies
- A more robust analysis would weight peers by size or use EV/EBITDA to avoid earnings distortion